EXECUTIVE SUMMARY

1. Introduction

Peñablanca is one of the 29 towns of Cagayan. It is approximately 9 kilometers road distance to Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values district only to the Filipinos.

To fulfill this vision, the Municipal Government program is centered on the provision of basic services through enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered for the poor of Peñablanca.

The audit covered the year 2017 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2017, the financial information of the municipality is presented below with comparative figure for CY 2016:

Particulars	2017	2016	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	342,268,780.59	291,558,798.30	50,709,982.29	17.39%
Liabilities	12,633,510.38	19,569,891.72	(6,936,381.34)	-35.44%
Government Equity	329,635,270.21	271,988,906.58	57,646,363.63	21.19%

Particulars	2017	2016	Increase/(Decrease)	
			Amount	Percentage
Result of Operations				
Revenues	270,652,297.81	231,584,717.08	39,067,580.73	16.87%
Expenses	213,005,934.18	208,455,249.79	4,550,684.39	2.18%
Total Appropriation	286,734,186.56	232,797,552.62	53,936,633.94	23.17%
Total Obligations	219,435,118.00	210,247,774.76	9,187,343.24	4.37%
Comparative Statements of Funds Received from NGAs, LGUs, NGOs, & POs				
Nat'l Gov't Offices	0.00	0.00	0.00	0.00
Local Gov't Units	0.00	0.00	0.00	0.00
Comparative Statements of Funds transferred to NGAs, LGUs, NGOs, & POs				
Local Gov't Units	230,400.00	230,400.00	0.00	0.00

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the financial statements due to the effect on the non-preparation of bank reconciliation statements for CY 2017 rendering the Cash in Bank account balance under all funds of P 82,660,946.43 unreliable; Property, Plant and Equipment of P254,077,113.35 is doubtful due to non-preparation and non-submission of the Report on the Physical Count of PPE.

4. Summary of Significant Observations and Recommendations

a. Five projects funded out of 20% development fund for CYs 2017 totaling P19,136,931.49 were not implemented at year end due to inability of management to implement these projects on time resulting to the delayed delivery of the socio-economic development and environmental outcomes of the municipality as provided under DILG DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017.

We recommended that Management implement projects as planned and address the causes of delays in the implementation of the programmed developmental projects in order to maximize the utilization of the funds and ultimately achieve desirable socio economic development and environmental outcomes in the municipality.

b. The procurement of the municipality for office supplies and other supplies/services in the total amount of P3,563,412.52 were made on reimbursement basis which is not in accord with certain provisions of Republic Act No. 9184 otherwise known as the Government Procurement Reform Act thereby defeating the purpose of transparency, accountability, equity, efficiency and economy in the procurement process.

We recommended that all procurement of goods and services should be through public bidding in accordance with the Revised IRR of RA 9184, in order to adhere to the principle of transparency, accountability, equity, efficiency and economy in the procurement process.

c. Advances of officers and employees of the municipality from CY 2012 to 2015 for travelling expenses totaling P260,355.60 remained unliquidated as of December 31, 2017 in violation of COA Circular No. 97-002 dated February 10, 1997, despite follow up and issuance of Demand Letters to concerned employees/officials.

We recommended that the Municipal Accountant demand from concerned officers and employees to settle their respective cash advances.

d. Cash advances with a total amount of P7,208,418.78 were granted to the Local Chief Executive for various purposes which is a disregard to Section 4.4.1.5 of COA Circular 97-002 and Section 89 of PD 1445.

We recommended that cash advances should not be granted to the Local chief Executive for purposes other than travelling expenses in consonance with Section 4.4.1.5 of COA Circular 97-002. Only duly appointed or designated disbursing officers may perform disbursing functions.

5. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances & charges as of December 31, 2017:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	2,426,008.00	0.00	0.00	2,426,008.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	2,426,008.00	0	0	2,426,008.00	0.00
Disallowances					
Prior Years	295,251.72	0.00	0.00	295,252.72	0.00
Current Year	0	0.00	0.00	0.00	0.00
Total	295,251.72	0.00	0.00	295,251.72	0.00

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the Eight (8) audit recommendations embodied in the 2016 Annual Audit Report, Two (2) were fully implemented, Two (2) were partially implemented and Four (4) were not implemented.